



## Public Competition Assessment

11 February 2025

### Integral Diagnostics' Proposed Acquisition of Capitol Health

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#### The ACCC's decision

1. On 10 December 2024, the ACCC announced its decision not to oppose Integral Diagnostics Limited's (**Integral Diagnostics**) proposed acquisition of Capitol Health Limited (**Capitol Health**) (the **Proposed Acquisition**). The ACCC decided not to oppose the Proposed Acquisition after accepting a court-enforceable undertaking from Integral Diagnostics to divest Capitol Health's clinic in Melton to an ACCC-approved purchaser (the **Undertaking**).
2. The ACCC considered that the Proposed Acquisition, without the Undertaking, is likely to have the effect of substantially lessening competition in contravention of section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market. The ACCC considered that the Undertaking sufficiently addresses the ACCC's competition concerns such that the Proposed Acquisition is not likely to contravene section 50 of the Act.
3. The ACCC most closely considered the competitive effects of the Proposed Acquisition in the following markets:
  - the supply of general diagnostic imaging (**GDI**) services in Melton, Bunbury and Busselton, and
  - the supply of magnetic resonance imaging (**MRI**) services in the greater Western Melbourne area.
4. The ACCC considered that, without the Undertaking, the Proposed Acquisition is likely to have the effect of substantially lessening competition in the supply of GDI services in the Melton region (the region within a ~10 km radius of Melton, Victoria).
5. The ACCC considered that Integral Diagnostics and Capitol Health compete closely. The Proposed Acquisition would combine two of only three competitors in the Melton region. The ACCC considered that the other GDI service provider

in the region, providers further away, and the prospect of new entry would not sufficiently constrain Integral Diagnostics from increasing its prices, decreasing its bulk billing rates, or reducing its service quality post-acquisition. Integral Diagnostics offered the Undertaking to address the ACCC's competition concerns in this region.

6. This Public Competition Assessment outlines reasons for the decision by the ACCC not to oppose the Proposed Acquisition, taking into account the Undertaking.
7. Please note that this and other public competition assessments are subject to the following qualifications:
  - The ACCC considers each transaction on a case-by-case basis and so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.
  - As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.

## The parties and the transaction

### The acquirer: Integral Diagnostics

8. Integral Diagnostics is an ASX-listed company (**ASX: IDX**) that provides general diagnostic imaging, MRI and nuclear medicine services across Australia and New Zealand (trading as Apex Radiology in Western Australia and Lake Imaging and the X-Ray Group in Victoria).
9. Integral Diagnostics currently operates 70 sites across New South Wales, Queensland, Victoria, and Western Australia, including 22 sites in Victoria and 6 sites in Western Australia.

### The target: Capitol Health

10. Capitol Health is an ASX-listed company (**ASX: CAJ**) that provides general diagnostic imaging, MRI and nuclear medicine services in Australia (trading as Capital Radiology in Western Australia and Capital Radiology, Direct Radiology, Future Medical Imaging Group (FMIG), Lime Avenue Radiology and Imaging @ Olympic Park in Victoria).
11. Capitol Health currently operates 60 sites across South Australia, Tasmania, Victoria, and Western Australia, including 45 sites in Victoria and 8 sites in Western Australia.

### The transaction

12. Integral Diagnostics proposes to acquire a 100% shareholding in Capitol Health, following which existing Integral Diagnostics shareholders would indicatively own ~63% and existing Capitol Health shareholders would indicatively own ~37% of the merged entity.

## Market inquiries

13. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, referrers, regulatory agencies, and other interested parties. Submissions and data were sought in relation to the potential competition issues arising from the Proposed Acquisition.
14. The ACCC also conducted targeted market consultation on the Undertaking.

## Industry background

15. Radiology is a medical specialty that uses medical imaging to both diagnose and treat human injuries and illness, and can be broadly separated into three modalities:
  - GDI services which includes X-Ray, mammography, ultrasound, CT scans, and other basic scans
  - MRIs which use magnetic field and radio frequencies to develop detailed images of organs and tissues, and
  - nuclear medicine which uses small amounts of radioactive material to diagnose and treat diseases and conditions.

## Other industry participants

16. Radiologists are doctors who specialise in the interpretation of diagnostic images and provide clinical reports. Sonographers and radiographers (medical imaging technologists) are medical professionals who operate the relevant diagnostic imaging machinery.
17. Doctors, including general practitioners (GPs) and various other medical specialists, refer patients to radiology service providers. The ACCC's inquiries indicate that medical practitioners will generally refer patients to clinics based on a range of factors including patient need, clinic location, established relationships between the referrer and radiologist, quality of service and reporting, waitlists, the range of services provided by the clinic (including whether they offer a full range of radiology services), and pricing (including the availability of bulk billing).
18. While patients can take their referral form to any practice of their choice, the ACCC inquiries indicates that patients will typically visit the clinic they have been referred to.

## Areas of overlap

19. Integral Diagnostics and Capitol Health both operate radiology clinics in various locations across Australia and overlap in Western Australia and Victoria. Integral Diagnostics and Capitol Health's clinics typically provide GDI services, with some clinics also providing MRI and nuclear medicine services.
20. In this matter, the ACCC most closely considered the effects of the Proposed Acquisition on local markets for the supply of:

- GDI services in Melton, Bunbury, and Busselton, and
- MRI services in the greater Western Melbourne region.

## Market definition

21. The ACCC's starting point for considering which markets will be affected by the Proposed Acquisition is to identify the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products, as well as what other products constitute sufficiently close substitutes to provide a significant source of constraint on the merged entity.
22. In this matter, the ACCC considered the effects of the Proposed Acquisition in markets for the supply of:
  - GDI services
  - MRI services, and
  - nuclear medicine services.
23. The ACCC considered each of these service categories as separate product markets given the limited substitutability between the various diagnostic imaging modalities and differences in availability and the distance patients travel to obtain each service. The ACCC also considered the possibility of supply-side substitution but found it unlikely given the differing requisite training and qualifications of staff, and the capital investments required.
24. Consistent with previous matters, the ACCC considered the supply of GDI services, including x-ray, ultrasound and CT, as one product dimension given radiology practices tend to supply these modalities together, and the qualifications required by radiologists and technicians are consistent across the modalities.

### *Geographic dimension*

25. Markets involving the supply of radiology services to patients are generally local in their geographic scope. For GDI services, the ACCC's inquiries indicated that competition is localised, with most patients seeking to obtain services from local providers typically within 10 km of the patient's home or the referring practitioner. However, the ACCC's inquiries indicated patients may travel further to obtain MRI services given its more limited availability.
26. While radiology providers largely compete at the local level, the ACCC also considered the potential for competitive impact of the Proposed Acquisition in a broader context focusing on Greater Melbourne, where Integral Diagnostics would have the largest number of diagnostic imaging clinics post-acquisition.
27. Economies of scale and economies of density (particularly being able to share staff across several geographically close sites) may mean that individual sites or smaller networks are less able to compete effectively with larger networks, meaning broader geographic competitive effects can be relevant.

28. The ACCC found that there are several alternative providers in Greater Melbourne, including providers with medium to large networks, that could be used to support expansion into new sites.

### **Competition analysis in respect of the supply of GDI services in Melton**

29. In Melton, Integral Diagnostics operates Lake Imaging clinic and Capitol Health operates Capital Radiology clinic.
30. The ACCC considers the market for the supply of GDI services in the Melton region is highly concentrated. The Proposed Acquisition would combine two of three radiology providers within a 10 km radius and significantly increase Integral Diagnostics' market share post-acquisition.
31. The ACCC found that Integral Diagnostics and Capitol Health are geographically close (within ~1.7 km), and as two major providers of radiology services, compete closely on factors such as bulk-billing practices, pricing, service quality, and service range in areas of overlap. In particular, the ACCC found that Capitol Health's clinic offered patients high rates of bulk-billing and that this constraint would be lost post-acquisition.
32. The ACCC found that there are few alternative radiology providers in the local area, with Lumus Imaging being the only remaining provider within a 10 km radius of the Capital Radiology clinic. Further, the ACCC's investigation indicated that radiology providers located outside of the Melton region, including in the Gisborne, Sunbury, Werribee, and Greater Melbourne regions, were unlikely to provide meaningful constraint on Integral Diagnostics post-acquisition due to the majority of patients travelling less than 10 km to access radiology services.
33. Additionally, the ACCC is not aware of any likely entry in the Melton region until the opening of Melton Hospital in 2029 and does not consider the threat of new entry or expansion would sufficiently constrain the merged entity post-acquisition.
34. As such, the ACCC considered that, without the Undertaking, the Proposed Acquisition would be likely to have the effect of substantially lessening competition in the supply of GDI services in the Melton region.

### **Competition analysis in respect of the supply of GDI services in Busselton**

35. In Busselton, Integral Diagnostics operates Apex Radiology clinic and Capitol Health operates Capital Radiology clinic.
36. The ACCC's investigation indicated that Vasse Radiology had recently entered the Busselton region in late 2024 and that it was likely to provide an effective competitive constraint on Integral Diagnostics post-acquisition. Additionally, market feedback identified SKG Radiology as a large competitor in the Busselton region with strong brand recognition and a high-quality offering.

37. Accordingly, the ACCC concluded that the Proposed Acquisition is not likely to substantially lessen competition in the supply of GDI services in the Busselton region.

### **Competition analysis in respect of the supply of GDI services in Bunbury**

38. In Bunbury, Integral Diagnostics operates Apex Radiology clinic and Capitol Health operates Capital Radiology clinic.
39. The ACCC found that Integral Diagnostics will continue to be constrained by alternative providers in the Bunbury region, including SKG Radiology and DAB Radiology, which compete with the parties on factors such as bulk billing practices, pricing, quality, and service range.
40. The ACCC's inquiries also indicated that new entry in the Bunbury region was likely in the short to medium term, and that this new entry would likely provide a competitive constraint on the merged entity post-acquisition.
41. Accordingly, the ACCC concluded that the Proposed Acquisition is not likely to substantially lessen competition in the supply of GDI services in the Bunbury region.

### **Competition analysis in respect of the supply of MRI services in Greater Western Melbourne**

42. Integral Diagnostics and Capitol Health each supply MRI services in the Greater Western Melbourne region (the region within a ~30 km radius of Melton, Victoria). Integral diagnostics provides MRI services at 2 clinics and Capitol Health provides MRI services at 7 clinics in this region.
43. The ACCC's investigation identified 6 alternative MRI providers within the Greater Western Melbourne region that will continue to constrain the merged entity post-acquisition. Additionally, market participants indicated that MRI licensing changes in 2025 and 2027 are likely to reduce barriers to entry and expansion in the supply of MRI services and likely encourage new entry or expansion in the short to medium term.<sup>1</sup>
44. On this basis, the ACCC concluded that the Proposed Acquisition would not be likely to have the effect of substantially lessening competition in the supply of MRI services in the Greater Western Melbourne region.

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<sup>1</sup> Currently, MRI machines in MM1 areas require a license to attract MBS rebates, whereas all MRIs in MM2-MM7 are fully Medicare-rebatable. From 1 July 2025, any MM1 practice with a licence for at least one MRI machine will receive Medicare eligibility for all MRI equipment at the practice. From 1 July 2027, MRI licensing requirements will effectively cease, and all MRI machines will become fully rebatable across MM1-MM7.

## Undertakings

45. In order to address the ACCC's competition concerns in relation to the supply of GDI services in the Melton region, Integral Diagnostics offered an Undertaking pursuant to section 87B of the Act.
46. The ACCC considers that the Undertaking will address its competition concerns with the Proposed Acquisition as it requires Integral Diagnostics to divest the Capitol Health clinic in Melton (the **Divestiture Business**), effectively removing the overlap between the parties in this region. The Undertaking aims to create a viable, effective, and independent competitor for the supply of GDI services in the Melton region.
47. A copy of the Undertaking is available on the ACCC public informal merger reviews register and section 87B undertakings register.
48. A brief summary of the Undertaking is set out below:
  - Integral Diagnostics will divest the Divestiture Business to an ACCC-approved purchaser,
  - Integral Diagnostics will ensure the purchaser has all the necessary associated assets and rights to compete effectively with IDX for the supply of GDI Services in the Melton region,
  - Integral Diagnostics must maintain the economic viability, marketability, competitiveness and goodwill of the Divestiture Business prior to divestiture, and
  - Integral Diagnostics must appoint and maintain an ACCC-approved independent auditor to provide for the effective oversight of Integral Diagnostics' compliance with the Undertaking.

## Conclusion

49. Based on the above analysis, the ACCC considers that, without the Undertaking, the Proposed Acquisition would be likely to have the effect of substantially lessening competition in the supply of GDI services in the Melton region.
50. However, the ACCC considers that the Undertaking addresses these competition concerns such that, with the Undertaking, the Proposed Acquisition would not have the effect, nor be likely to have the effect, of substantially lessening competition in any market.